

Calendar Line 4

Case Name: *Cowley v. Apple, Inc.*

Case No.: 23CV424597

Plaintiff William Cowley (“Plaintiff”) alleges that Defendant Apple, Inc. (“Defendant”) wrongfully terminated his Apple Account without justification, resulting in conversion among other claims.

Before the Court is Defendant’s motion for reclassification, which Plaintiff opposes. For the reasons discussed below, the Court DENIES the motion for reclassification.

FACTUAL AND PROCEDURAL BACKGROUND

According to the Second Amended Complaint (“SAC”), Defendant designs, manufactures, and markets smartphones, personal computers, tablets, watches, and accessories, and sells, or otherwise makes available related content for use on said devices. (SAC, ¶ 10.) To purchase or obtain content, iCloud storage, or make in-app purchases, consumers must create and use an Apple Account—formerly known as an Apple ID—which requires registration of a valid method of payment for any purchases made through Apple. (*Id.*, ¶¶ 7, 12.) On October 25, 2021, Plaintiff attempted to make a transaction on the Apple ecosystem but received notification that the transaction could not be completed. (*Id.*, ¶ 68.) Defendant terminated Plaintiff’s Apple Account that same day and removed access to his electronically stored content—including years of personal content. (*Id.*, ¶ 9.) Although Plaintiff contacted Defendant and reviewed each transaction with Defendant’s representatives to confirm their legitimacy and verified all payment methods on file, Plaintiff was advised that his account was disabled for “security reasons”, and Defendant never articulated the basis for such concerns and refused to correct the termination or provide Plaintiff with access to his stored property. (*Id.*, ¶¶ 31-32, 70.) Plaintiff lost all content he acquired and maintained with his Apple Account since 2007 such as sentimental items and memories and documents regularly used as part of his employment. (*Id.*, ¶¶ 75, 77.)

On September 16, 2025, the Court (Hon. Adams) sustained in part Defendant’s demurrer to the SAC and granted Defendant’s motion to strike (the “September 16, 2025 Order”). The operative SAC alleges the following causes of action: (1) conversion; (2) unjust enrichment; and (3) violation of California Business and Professions Code section 17200 (the “UCL”).

MOTION FOR RECLASSIFICATION

1. Legal Standard

A court may grant a motion for reclassification and enter an order for reclassification when (1) the class is incorrectly classified, and (2) the moving party shows good cause for not seeking reclassification earlier. (Code Civ. Proc., § 403.040, subd. (b).) A case must be transferred where either “(i) the absence of jurisdiction is apparent before trial from the complaint, petition, or related documents, *or* (ii) during the course of pretrial litigation, it becomes clear that the matter will ‘necessarily’ result in a verdict below the superior court jurisdictional amount, and the court affords the parties an opportunity to contest transfer.” (*Walker v. Superior Court* (1991) 53 Cal.3d 257, 262 (*Walker*), emphasis original.)

An action shall be treated as a limited civil case only if: (1) the amount in controversy does not exceed twenty-five thousand dollars;² (2) the relief sought may be granted in a limited civil case; and (3) the relief sought is “exclusively of a type described in one or more laws that classify an action or special proceeding as a limited civil case or that provide that an action or special proceeding is within the original jurisdiction of the superior court.” (See former Code Civ. Proc., § 85, subds. (a)-(c))

Discussion

In moving for reclassification, Defendant claims that the alleged value of the property in controversy is at most \$15,514.64, and therefore, less than the \$25,001 minimum requirement for unlimited cases. (Motion, p. 7:8-10.) Defendant further argues that the motion could not be filed until after the pleadings and amount at issue were resolved through the September 16, 2025 Order, therefore good cause exists for not seeking reclassification earlier. (*Id.*, p. 7:10-11.)

2. Amount in Controversy

Defendant insists that the action be reclassified because (1) the property in controversy is less than \$25,000, and (2) Code of Civil Procedure section 86, subdivision (a) is written such that a case is limited if either (i) the demand is less than \$25,000 or (ii) the value of the property at issue is less than \$25,000. (Motion, p. 6:14-16.)

“The prayer or ‘demand’ for relief in the complaint is relevant to valuation of the amount in controversy. [Citations.]” (*Stern v. Superior Court* (2003) 105 Cal.App.4th 223, 233 (*Stern*) [assessing “value of the case”].) Code of Civil Procedure section 85, subdivision (a) defines “amount in controversy” as “the amount of the demand, or the recovery sought, or the value of the property, or the amount of the lien, that is in controversy in the action, exclusive of attorneys’ fees, interest, and costs.” Former Code of Civil Procedure section 86, subdivision (a) provided that limited civil cases are those where “the demand, exclusive of interest, or the value of the property in controversy amounts to twenty-five thousand dollars (\$25,000) or less.”

Here, the SAC prays for the following relief: (1) a permanent injunction enjoining Defendant from engaging in the unfair and unlawful practices and violations of law; (2) return of Plaintiff’s property Defendant stored in iCloud and seized upon termination of the Apple Account; (3) restitution of all funds acquired from Defendant’s unfair business practices; (4) imposition of constructive trust upon all property, monies, and assets Defendant acquired after Plaintiff repurchased content; (5) damages according to proof, (6) punitive damages; (7) costs of suit; (8) interest on any amounts awarded; and (9) payment of reasonable attorneys’ fees. (SAC, p. 31:7-27.)

Defendant maintains that the action is incorrectly classified given that the (1) “object” of the SAC is recovery of Plaintiff’s personal property, which is purportedly valued as

² While the California Legislature raised the jurisdictional threshold for unlimited cases from \$25,000 to \$35,000 in 2024 (see Stats. 2023, ch. 861 § 2 [SB 71]), the Court will refer to the statute as stated prior to January 1, 2024, given that Plaintiff initiated this action in 2023. (See *Greenup v. Rodman* (1986) 42 Cal.3d 822, 830 [applying \$15,000 threshold to action filed before enactment of statute raising jurisdictional threshold to \$25,000].)

\$15,514.64; and (2) in an action for recovery of personal property, courts do not consider the claim for damages in determining jurisdiction. (Motion, pp. 7:14-20, 9:8-11; see *Walker, supra*, 53 Cal.3d at p. 262 [requiring transfer where absence of jurisdiction is shown on the face of the pleading]; 3 Witkin, California Procedure (6th ed. 2026), Jurisdiction, § 33, subd. (1) [noting in action for recovery of property “when damages also were claimed, they were not added to the value of the property to obtain a total amount”].)

Defendant’s citation to Witkin and *Holm v. Davis* (1935) 8 Cal.App.2d 328 (*Holm*) is distinguishable as the treatise and case both only concern allegations of a single cause of action for conversion or claim and delivery. (See *Holm, supra*, 8 Cal.App.3d at p. 330 [declining to consider reasonable value of a property’s use because damages are incidental to action for claim and delivery but considering attorney’s fees as special damages].) Here, the SAC alleges violation of the UCL, conversion, and unjust enrichment in the alternative. (See September 16, 2025 Order, p. 22 [permitting pleading of unjust enrichment as alternative to conversion].) Furthermore, the conversion claim expressly requests “the return of [Plaintiff’s] personal property *or* the monetary value of the same.” (SAC, ¶ 115, emphasis added.) Because the conversion claim seeks the unspecified monetary value in the alternative, the demand may still be determinative. (See 3 Witkin, California Procedure (6th ed. 2026), Jurisdiction, § 33, subd. (2) [“Where, although the value of personal property is involved, the action is not for the recovery of property, the demand and not the value determines jurisdiction. This is the case, e.g., where the action is for damages for conversion.”].)

Defendant next argues that the September 16, 2025 order forecloses any argument that the value of property could exceed \$25,000 because Plaintiff bought his data for less than that amount. (Motion, p. 8:19-20.) Citing *Silvaco Data Systems v. Intel Corp.* (2010) 184 Cal.App.4th 210, Defendant asserts that Plaintiff’s data has no value because it does not fit the definition of a trade secret and is not property under positive law. (*Id.* at p. 23, fn. 21.) The Court already rejected this argument by noting that under *Taylor v. Google, LLC* (9th Cir. Feb. 28, 2024, No. 22-16654) 2024 U.S. App. LEXIS 4642, at *4, Plaintiff’s data—which encompasses personal items—constitutes property that may be subject to conversion. (September 16, 2025 at p. 18:20-22.) Furthermore, as Plaintiff argues, Defendant inaccurately characterizes the SAC because the \$15,514.64 amount only concerns Plaintiff’s expenditures “on Apple Content, Services, Apps, and in-app purchases”. (Opposition, pp. 6:27-7:6; see SAC, ¶¶ 165, 174 [alleging Plaintiff “lost over \$15,000.00 worth of purchases...as well as his personal property”].) The SAC does not allege a value for Plaintiff’s lost personal property (e.g., photos and work documents), and the September 16, 2025 Order notes that the data—*i.e.* amount in controversy—includes both purchased content and Plaintiff’s personal property. (September 16, 2025, p. 17:15-23.) Thus, the SAC does not establish on its face that the value of the personal property is less than \$25,000.

Defendant insists that because the Court dismissed the breach of contract and misrepresentation claims, Plaintiff may no longer seek consequential damages under Civil Code section 3300³, punitive damages, and other relief. As Plaintiff argues, his conversion claim may provide sufficient grounds for punitive damages and emotional distress damages.

³ Civil Code section 3300 provides, “For the breach of an obligation arising from contract, the measure of damages, except where otherwise expressly provided by this Code, is the amount which will compensate the party aggrieved for all the detriment proximately caused thereby, or which, in the ordinary course of things, would be likely to result therefrom.”

(Opposition, p. 6:19-26 [citing CACI 2102].) Indeed, Civil Code section 3336 provides the following as damages for conversion: (1) “value of the property at the time of the conversion, with the interest from that time, or, an amount sufficient to indemnify the party injured for the loss...” and (2) “A fair compensation for the time and money properly expended in pursuit of the property.” And *Gonzales v. Pers. Storage* (1997) 56 Cal.App.4th 464, 476 interpreted Civil Code Section 3336, to include emotional distress damages. While the SAC does not expressly allege emotional distress damages, it alleges compensatory and exemplary damages and claims the loss of important personal property representing memories had a “huge impact.” (SAC, ¶¶ 75, 117.) Furthermore, punitive damages are available for claims of conversion upon a showing of malice, fraud, or oppression. (See *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151.) The SAC alleges, “Defendant intentionally interfered with the rights of Plaintiff when it unlawfully seized the contents of his Apple account and prevented him from accessing Plaintiff’s personal property.” (SAC, ¶ 111.) The allegation is sufficient to demonstrate malice. (See Civ. Code, § 3294 [“‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.”])

Plaintiff further argues that his request for permanent injunction necessarily precludes reclassification as “a plaintiff in a limited civil action may not obtain a permanent injunction.” (*Ytuarte v. Superior Court* (2005) 129 Cal.App.4th 266, 275 (*Ytuarte*).) Defendant contends that because (1) Code of Civil Procedure section 580, subdivision (b)(2) permits granting a permanent injunction authorized by statute in limited civil cases and (2) the UCL authorizes permanent injunctions, Plaintiff’s request for a permanent injunction is not an absolute bar for reclassification. (Reply, p. 7:13-18.) While Defendant does not provide caselaw that directly supports this assertion, the Law Revision Commission comment to Code of Civil Procedure section 580, subdivision (b)(2) notes that the “authorized by statute” language was added “to clarify its interrelationship with provisions such as Business and Professions Code Section 12606, under which a court in a limited civil case is authorized to grant relief that might be considered a permanent injunction (e.g., an order to destroy property packed in misleading containers).” Business and Professions Code section 12606.2, subd. (g) expressly provides, “A proceeding under this section is a limited civil case if the value of the property in controversy is less than or equal to the maximum amount in controversy for a limited civil case under Section 85 of the Code of Civil Procedure.” (See Food & Agr. Code, §§ 25564, 43039, 59289, subd. (b) [stating the same].) By contrast, Business and Professions Code section 17203, which authorizes permanent injunctions for UCL claims, does not expressly authorize granting permanent injunctions in a limited civil case. Furthermore, in a case Plaintiff cites elsewhere, one court rejected the suggestion that a civil harassment action should be considered by the appellate division as a “limited case” because the civil harassment statute authorizes a permanent injunction. (See *Williams v. Superior Court* (2021) 71 Cal.App.5th 101, 108, fn. 4.) Given the foregoing, Defendant has not established that permanent injunctions pursuant to the UCL are available in a limited civil case, and consequently fails to meet one of the requirements of Code of Civil Procedure section 85. (See former Code Civ. Proc., § 85, subd. (b).)

Defendant also contends that Plaintiff’s request for permanent injunction is without merit as the SAC seeks to prevent Defendant’s rightful termination of Plaintiff’s new Apple Account and injunctive relief cannot be afforded to past acts. (Reply, pp. 7:28-8:10.) While the Court held that Defendant had a right under its Terms and Conditions to terminate Plaintiff’s Apple Account for purposes of dismissing the breach of contract claim (September

16, 2025 Order at p. 24:10-11), the Court nonetheless held the UCL claim remained as the SAC adequately alleged an “unfair act” with, “[Defendant’s] practice of seizing and depriving its customers of their personal property without justification or avenue to dispute the deprivation...” (*Id.* at p. 30:1-2; see SAC, ¶ 159.) The SAC also requests a permanent injunction “enjoining [Defendant] from continuing to engage in its unfair and unlawful conduct as alleged herein...” (SAC, ¶ 175.) These allegations are sufficient to plead entitlement to relief from future harm.

The Court must assume the truth of facts stated in the complaint. (*Walker, supra*, 53 Cal.3d at p. 269; see *Stern, supra*, 105 Cal.App.4th at p. 233 [noting reclassification does not involve “evaluation of the merits of the claim”].) Given the facts alleged and damages theories pled in the SAC, the Court concludes that (1) the absence of jurisdiction is not apparent from the SAC; and (2) Defendant has not established as a matter of legal certainty that a damage award of \$25,000 is impossible. (See *Walker, supra*, 53 Cal.3d at p. 262; *Ytuarte, supra*, 129 Cal.App.4th at p. 277.)

Because Defendant has not demonstrated that the claim is incorrectly classified, the Court declines to address whether good cause exists for not requesting reclassification earlier. (See Code Civ. Proc., § 403.040, subd. (b).)

CONCLUSION

The motion for reclassification is DENIED.

Calendar Line 5

Case Name:

Case No.:

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Calendar Line 6

Case Name: *Gaspar v. Big T Supermarket, Inc.*

Case No.: 24CV433252

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Gustavo Enriquez Gaspar alleges defendant Big T Supermarket, Inc. committed various wage and hour violations.

Before the Court is Plaintiff’s motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

According to the allegations of the Complaint, Plaintiff worked as a clerk at Defendant’s market in San Jose. (Complaint, ¶ 9.) Defendant failed to: pay all wages; provide compliant meal periods or compensation in lieu thereof; provide compliant rest periods or compensation in lieu thereof; timely pay wages; furnish accurate wage statements; pay wages upon termination; and reimburse necessary business expenses.

Based on the foregoing, Plaintiff initiated this action on March 18, 2024, with the filing of the Complaint, with asserts the following causes of action: (1) failure to provide required meal period; (2) failure to provide required rest breaks; (3) failure to pay overtime wages; (4) failure to pay minimum wages; (5) failure to pay timely wages; (6) failure to pay all wages due to discharged and quitting employees; (7) failure to maintain required records; (8) failure to furnish accurate itemized statements; (9) failure to provide and properly calculate mandatory California sick leave; (10) failure to provide and properly calculate supplemental COVID-19 sick pay; (11) failure to indemnify employees for necessary expenditures incurred in discharge of duties; (12) unfair and unlawful business practices; and (13) PAGA penalties.

Plaintiff now seeks an order: granting preliminary approval of the Class Action and PAGA Settlement (the “Settlement”); approving the Class notice and its distribution to Class members; provisionally certifying the Class for settlement purposes; appointing Plaintiff as the Class representative; appointing Scott Ernest Wheeler and Justin A. Wheeler of the Wheeler Law Firm, APC, as Class Counsel; and setting a final approval hearing.

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense,